BSE Sensex, has gained 10 per cent. The same index over the past one year as on August 15, 2023, gained 17.6 per cent.

If one goes a bit further back in time, the Sensex has gained 129 per cent since the lockdown of March 25, 2020 and 36 per cent since January 1, 2021. This information only emphasises the advantage of investing and staying invested in equities, especially indices. The story of specific stocks is different because there are many stocks that have over the past decade made their way in and out of the index.

Investors who were waiting for corrections before they made their move, say in 2021 or even in the first half of 2022, may be disappointed about the opportunity loss they faced by waiting for the right time to invest. We have said it in the past and are repeating it again that investing is all about the time spent staying invested in the markets and not about when to invest.

THE MARKETS ALWAYS RECOVER

During a rising market, it is understandable for investors to worry about investments and whether the stocks could fall. Waiting for a market correction to start investing could result in a loss of opportunity. This is exactly why you should not wait for an opportune moment to invest or look for the bottom of the market to start investing. After all, it is only based on past data that one is able to clearly identify the date that was most ideal to invest because the market was at its lowest. If you keep waiting for a market correction, you will stay stuck.

Stock market investing is not like a race with a clear start or finish line; it is more like planning a vacation where you decide when to go and when to return. It is for this reason that you should invest, even at a market high, as the markets are only going to go higher (see *Markets run in cycles*). There will be phases when the markets dip, but the general market movement over time is largely upward. That is why investing demands composure—not being swayed into investing blindly by bull runs and, conversely, exiting investments during bear phases.

INSIDE THE BULL RUN

Every now and then, lay investors hear phrases about the markets witnessing a bull run or the prospects of a bull run being high or the declaration of the end of a bull run. History and data show that over a fairly long time, the stock market indices always rise. For instance, the S&P BSE Sensex for which data is available since 1979 has come a long way from the base of 100 to the current 65,000 levels. Over the past 44 years, this growth is 6,500 times, and if one plots a graph with just the start and end point; the bull run is obvious. However, on closer observation, there are weeks, months and sometimes even years when the market indices have fallen or remained tepid.

NEVER INVEST IN COMPLICATED FINANCIAL PRODUCTS OR IN COMPANIES WHOSE BUSINESS ISN'T CLEAR AS BOTH SUCH OPTIONS APPEAR DURING BULL RUNS

In the short term, stock markets are driven by several factors—earnings expectations and if it matches the actual earnings, policy rates, economic conditions, government policies, news and events and many other factors. For instance, within months of the Covid pandemic in India, the markets were on a downward slope, taking cues from both domestic and international developments. To counter the lockdowns and economic slowdown, central banks all over the world started to infuse liquidity into the markets by cutting interest rates and some even went for printing more cash.

Many governments doled out subsidies and freebies to prop up the market, including India. This was evident the way the Sensex rebounded from the fall between February and September 2020. The immediate outcome were all signs of a bull run in the stock markets, until inflation started to play spoilsport in 2021 leading to central banks increasing in-

MARKETS RUN IN CYCLES

BULL RUNS	BEAR PHASES
2003-07: Excess liquidity, phase of economic reforms boosted the stock markets	**2004**: After the general election, the stock market fell when the UPA government was formed with the backing of Left parties
2009-10: Post the financial crisis, the US Fed and all other central banks kept their interest rates low to increase liquidity, boosting private sector investment	**2007-08:** M arkets tanked 50 per cent on the back of the global financial crisis, but India still managed to do better than most world markets
2013-14: Rebound on the back of a new BJP-led NDA regime at the Centre and clear government policies	**2016**: Markets dropped by a quarter over a one-year period, on account of mounting bank NPAs and global market weakening
2021 onwards: Recovery and revival after the Covid pandemic	**2020:** Covid-19 caused markets to fall by 14 per cent and several segments further